



Factor Update, January 31, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
- Short one unit of NY Coffee futures - Long two units of Crude Oil futures - Long one unit of KC Wheat	- Long one and a half units of CENX stock - Long two units of CHF futures
Markets under consideration for New Initial Positions (NIPs)	
Gold as a Hold	TPYP-etf
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 855 as of Jan 30	

Trading commentary

Markets like this past week make me thankful I trade futures. It would take me days to completely unwind my retirement account equity portfolio while I could – if desired -- go flat in futures in less than a minute. In my opinion the futures markets offer the best of everything – tax treatments, liquidity, trading hours, geographic and asset class diversification, ease of going short, leverage. I do not believe I would have been nearly as fortunate had I been an equities trader.

Silver

Allow me to spend a little more time than usual on Silver. There has never been a week like the one just concluded.

- RECORD WEEKLY VOLUME,
- RECORD DAILY VOLUMES,
- RECORD WEEKLY RANGE,
- RECORD DAILY RANGES.
- ABSOLUTELY CRAZY.

This is what a BLOW-OFF looks like. Whether it was a blow off for many years, quarters, months, weeks (or perhaps even days) we do not know. The next few weeks might be very revealing.

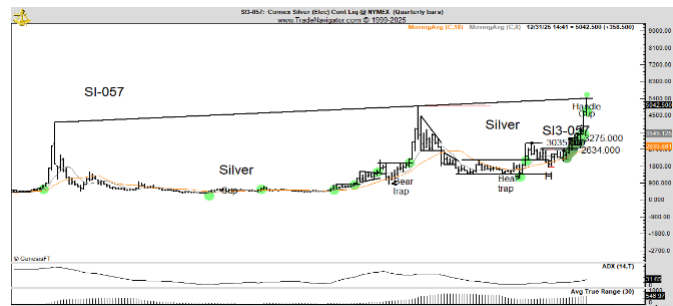
That the market hit a top this past week was NOT a surprise to me. That the market corrected so violently took me off guard if I am candid. I still own a fair amount of Gold and some Silver etfs -- and these are keepers -- thankfully from much lower levels.

So, what's next? I do NOT know. In fact, I am a very confused Bayesian because I see a Tale of Two Silvers and I am not sure which Tale is telling the truth. I will present two Bayesian alternatives in this Update. The first tale is based on conventional technical analysis. The second tale is rather conspiratorial, which I am normally not.

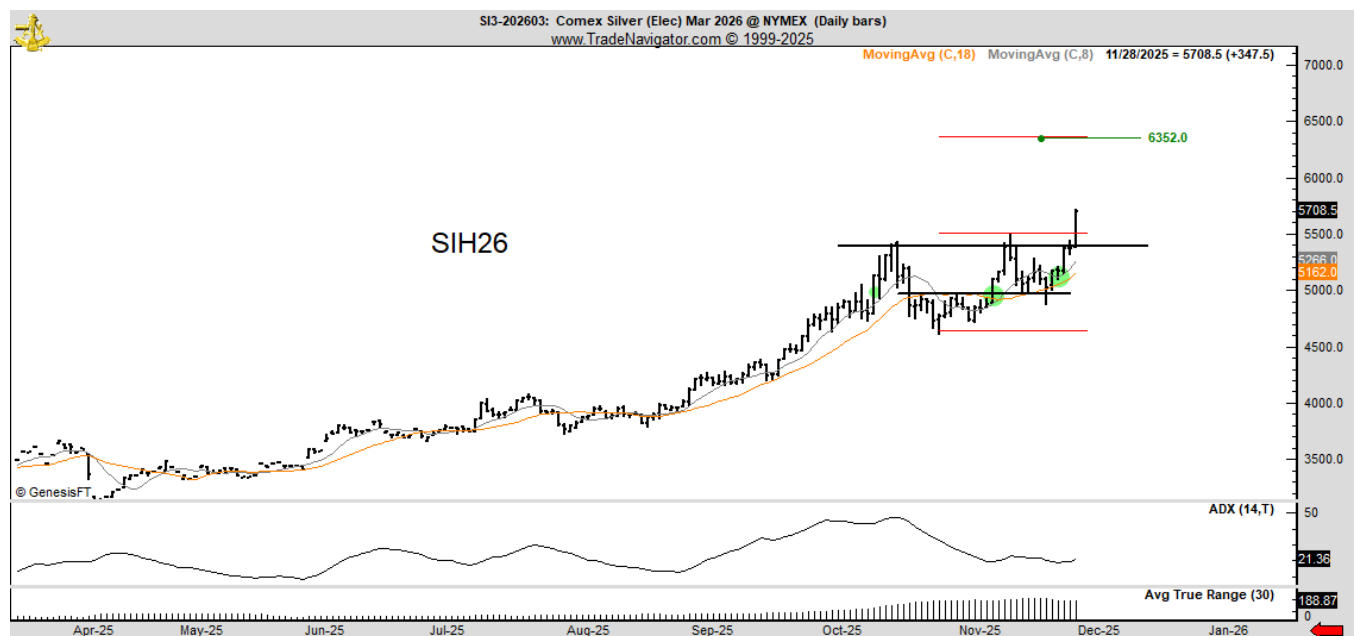
Tale #1 – A conventional technical view

First, let's roll back the clock a few months.

The chart right is from the Nov 15 edition of the Factor Update. The dominant pattern in my mind was the 45-year resistance line at \$50 to \$55. I believed that this resistance would hold the rally, but that if it didn't do so Silver could be off to the races. I just under-estimated what "off-to-the-races" might mean.



Silver paused in the low \$50 and then presented a gift in the form of a Cup and Handle pattern on the daily chart right at \$55. The chart below is from the Nov 29 edition of the Factor Update.

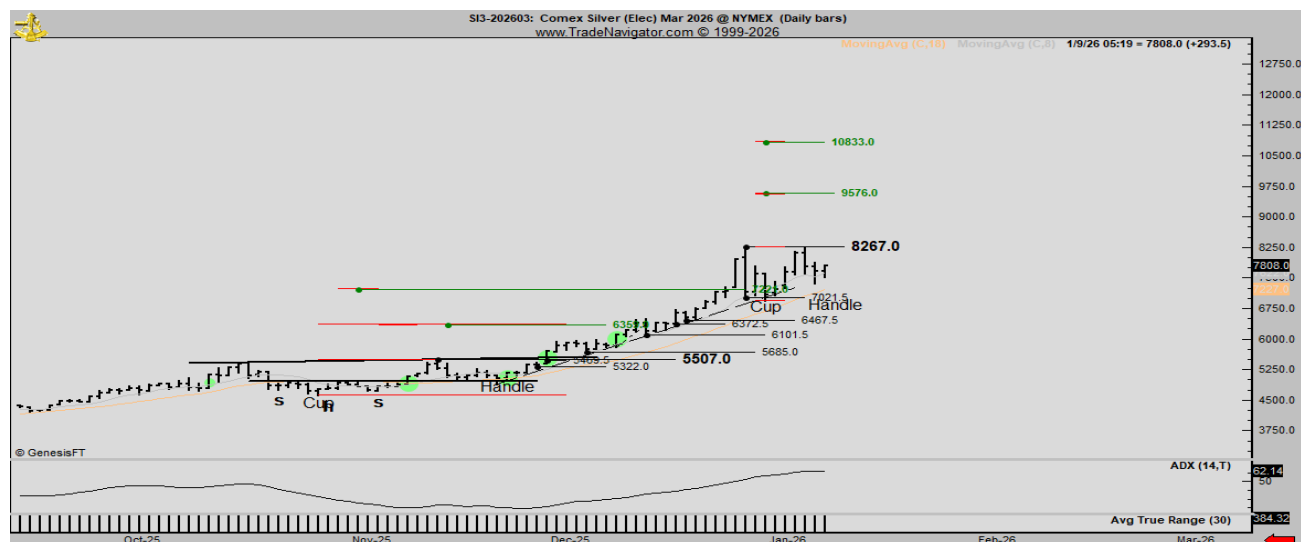


The most powerful trades throughout my career have been when clear daily continuation patterns develop just prior to the breakout of a weekly chart (or a clear weekly pattern just prior to a monthly breakout). A trader could make a career just looking for these on any universe of price graphs.

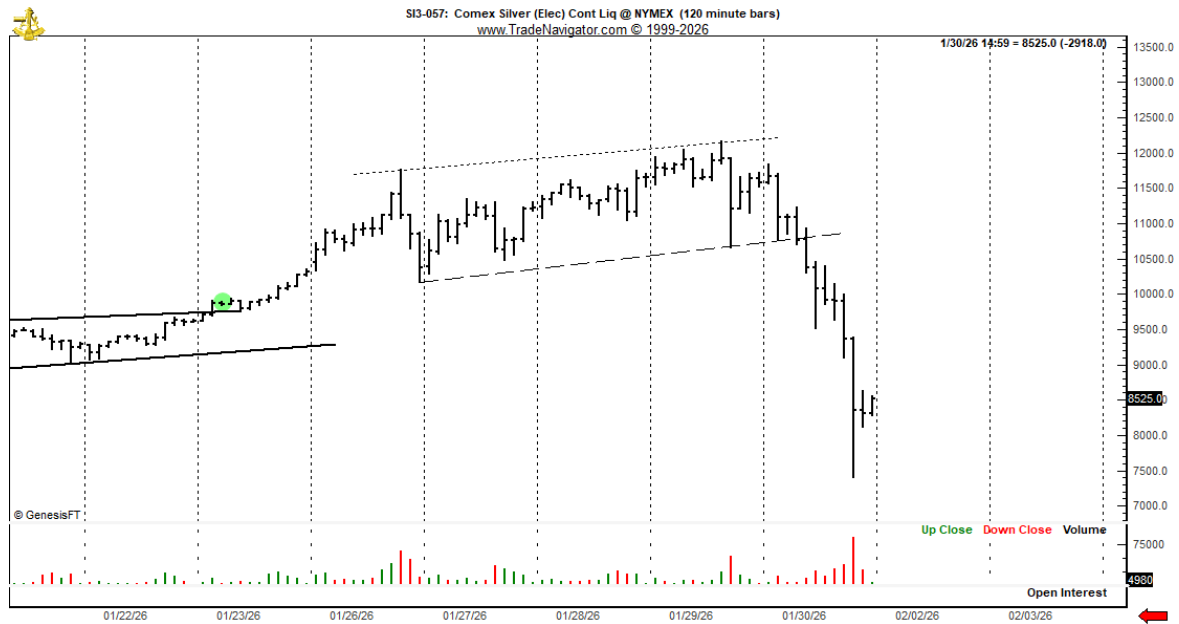
A couple Factor members asked me off-stage why I would go long at a record high price in an over-bought market. Looking back, I should have taken a double-sized position.

I underestimated just how strong Silver could be. I really thought the 90s would be it. Until the second week of January that is. Brief continuation patterns in the context of strong trends also are part of my trading toolbox. The Jan 10 Factor Update included the chart below. I noted another small Cup and Handle (also called a pennant in this case) with possible targets at 96.x and 108.x.

My last long-side swing trade was entered on Jun 12 at 83.49 in Mar futures. Unfortunately, I did not ride this one to the higher target. I have been flat in Silver ever since this trade. I was unable to conceive of Silver in the \$120s as likely yet.



Then came the blow off into Thursday's high and the dump on Friday.



Fundamentals are an interesting topic. But fundamentals are not constant. The supply and demand fundamentals at \$30 Silver are not that same as at \$100 Silver. On Thursday when Silver was trading at about \$115,000, I posted the piece below on X, explaining why Silver mining companies should be hedging years' worth of production.

← Post Reply

Peter Brandt @PeterLBrandt

SILVER
SOMETHING TO THINK ABOUT
With all the hoopla in Silver, let me suggest something you might not be thinking about. We always need to think "below the surface," down as many layers as possible.
So far this week Comex has traded 4.3 BILLION ounces of Silver -- NOT PAPER SILVER YOU CONSPIRACY THEORISTS
That is 5.2 years of production.
Now, you can think of it as DEMAND
But you can also think of it as SUPPLY
If I am the CEO of a low cost-of-production mining operation, I would be INSANE for not hedging at least three years of production at \$110/oz, which could be 3 to 4X my AISC production cost.
Speculators speculate -- it is what they do
Miners mine -- it is what they do
Mining is a business -- business is what they do
Business want to make profits -- it is what they do
CEO manage risk and profits -- it is what they do
If you think that the Silver market is just all about supply restrictions, then you know nothing about commodity markets
Take the Silver Institute's S&D table. Now, double or even triple the Recycling supply (which will happen) and reduce demand by 10% as the cost of Silver drives industry to alternative uses because of price, and you then begin to create a pipeline glut.
So, then what does that do your your "supply shortage" narrative?
Just saying. Don't shoot the messenger
I am only letting verified X accounts reply because I have no interest in what the trolls have to say about this

2:08 PM · Jan 29, 2026 · 230.2K Views

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Peter Brandt @PeterLBrandt · 6s

Us old school traders get a kick out of newbies who make the markets seem so complicated with their VWAPs and fancy global macro reasoning
At the end of day a trader must return to the basics
History 101
Econ 101
Psychology 101
Sorry, but this time it is not different #silver

In fact, I believe COT data released next week could show that Silver had a massive change of hands this past week as Silver companies sold into investor FOMO.

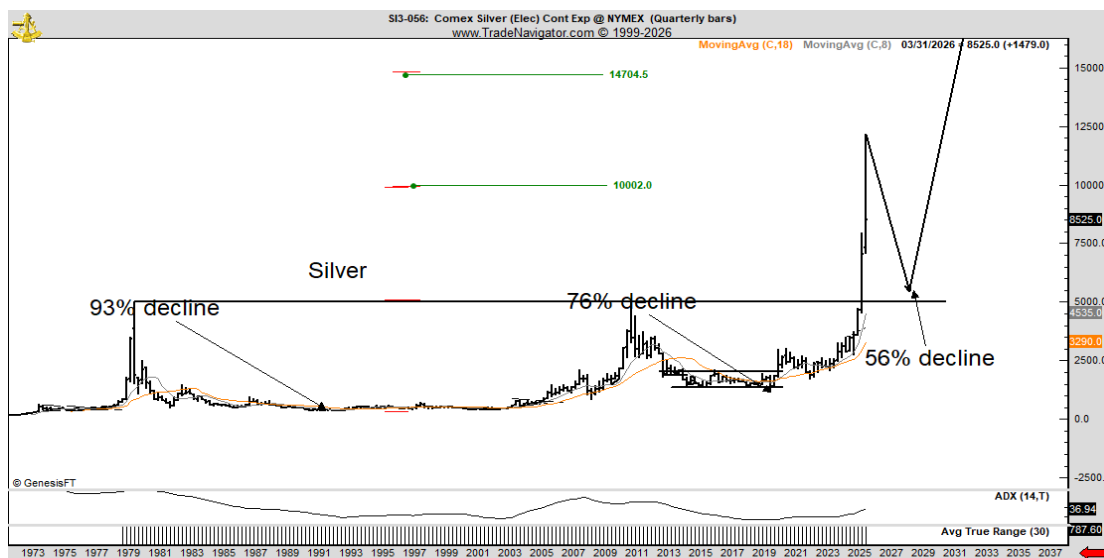
Under my Tale #1, Silver is NOT done going up. But it might be done for longer than any of us might hope. Congestion periods following spike blow-offs in Silver can take many years and go deeper than anyone might imagine.

Let me suggest Tale #1 path forward, pointing out that this is a PURE guess.

Following previous corrections of 93% and 76% lasting years, I think a 55% or so decline to test the 1980 and 2011 highs would be quite reasonable. Again – just a wild guess – but then the market would begin the “REAL” bull market by registering a new ATH in 2030 or so.

Chances are pretty good that I will not be the voice of the Factor at that point, but I will make sure you are in good hands for the long-term outlook in Silver. A guess – again, a pure guess – is that the chop between now and then would be vicious and many who made a fortune in 2025 will lose it in the interim years.

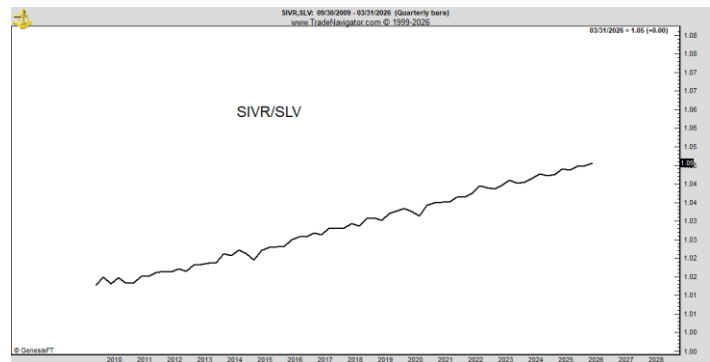
As I always say, it is easy making money in futures trading, but the challenge is keeping it. Keeping it will be your burden.



Tale #2 – A conspiratorial view

I have great distaste for conspiracy theories of all kinds, especially those dealing with Comex and Silver. For years the conspiratorialists have accused the Comex of price manipulation. I have generally made fun of this. Yet, there are several Bayesian things I cannot ignore:

1. Biblical Gold/Silver ratio <30 to 1 (I take a literal/contextual/historical view of the Bible)
2. Chinese ban on exports (China represents about 13% of global production and 35-40% of global consumption)
3. The Shanghai Exchange Silver contract is a better proxy of global pricing than the Comex contract
4. The Shanghai Silver price trades at a premium to the Comex price (how much of a premium is disputable)



While Tale #2 is an interesting global-macro wrapper, of importance to me is that I am a swing trader and there are NO set ups for me right now in Silver. Tale #2, while compelling, is unactionable to me as a swing trader. For now trading Silver is completely off the table for me. I am risk adverse, and Silver is far from a tame kitten.

Gold futures

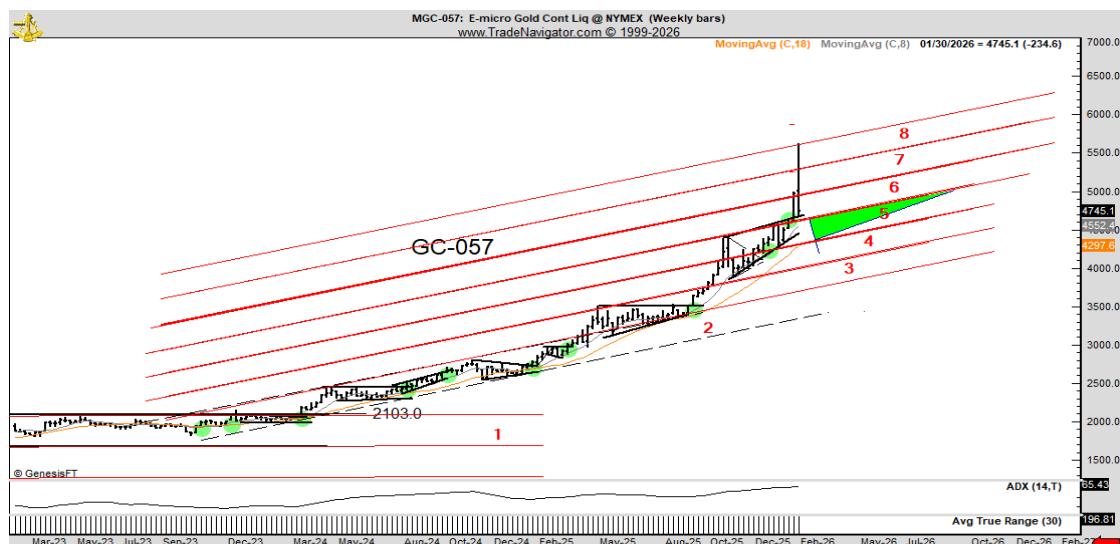
How much of the Comex Silver price correction was due to serious concerns about a delivery default? This is a complete guessing game. As a Bayesian I will be interested in monitoring the Shanghai/Comex relationship and also in the ratio between \$SIVR (physical Silver ETF) and \$SLV (paper ETF).

What about Gold? For starters I think the Gold/Silver ratio will now head back into the high 60s to 1, maybe even the low 70s to 1. So, if Silver works its way back down to, let's say, \$60 – that would put Gold at \$4,200 at the 70 to 1 ratio. Gold price is almost there. In other words, I am far more constructive on Gold than on Silver. While Gold is likely to correct from last week's high of \$5,580, I think a 20% correction would be more than enough. This would put Gold back under \$4,500.

I will return to the tiering structure which I have previously discussed as being a sound framework for understanding Gold. The upper boundary of Tier 8 was touched this past week. That should be it for a while. Price on Friday almost touched the lower boundary of Tier 6 – how is that for crazy? I just cannot see Gold retest the lower boundary of Tier 4, but Tier 5 yes. So, Gold moving below \$4,700 is a buy for me.

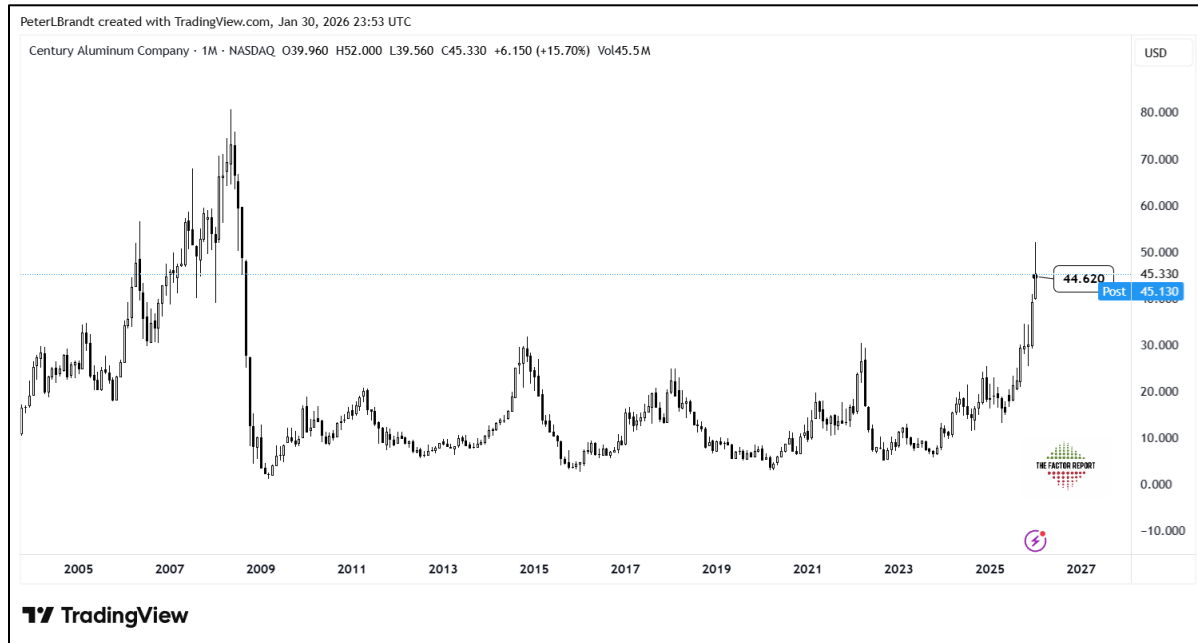
My intent expressed to Factor Members has been to move 20% or more of my net worth into Gold assets. This will be my goal in 2026 given the opportunity.

The Gold chart is on next page. Don't expect this level of analysis and discussion in future updates.



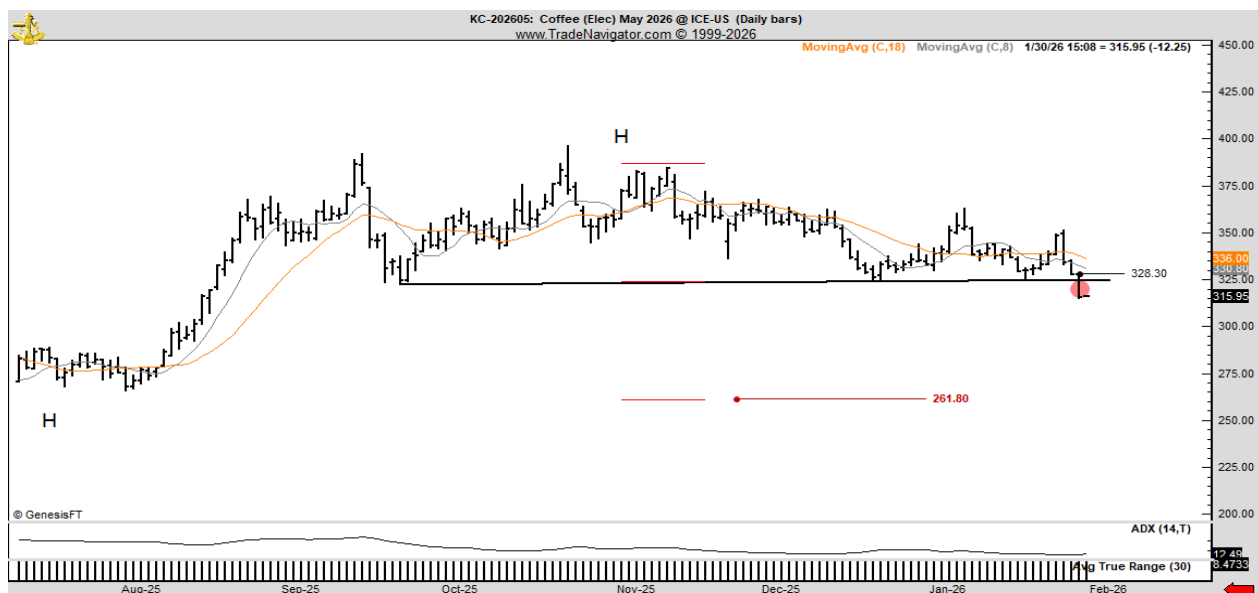
CENX-stock

- Factor is long one-and-a-half units of CENX
- I covered a half unit this past week with a tight stop
- This is a monster base
- An initial target at 43.50 has been met
- Never count your chickens before they hatch
- Lots could go wrong with this trade – so do not chase it



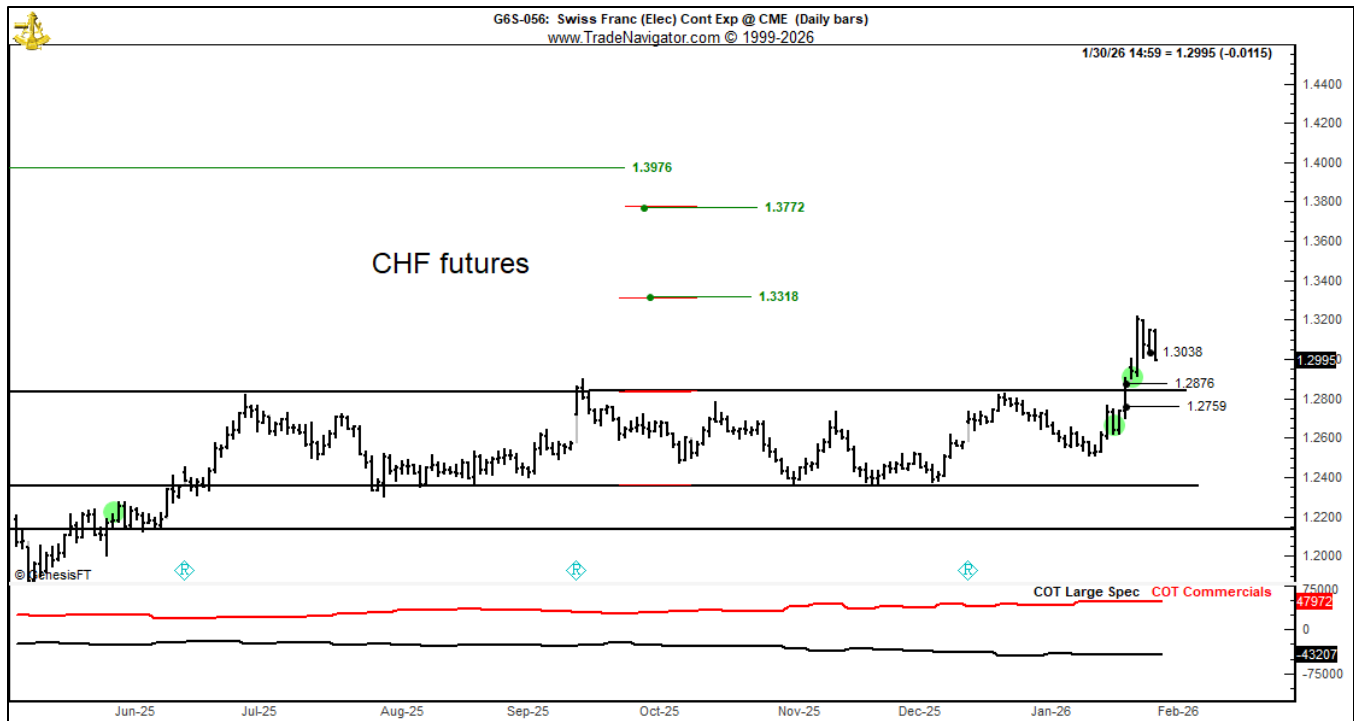
New York Coffee futures

- A massive H&S top was completed on Friday, and an entry sell stop was filled
- My trading policy with softs is to move protective stops to break-even as quickly as possible



Swiss Franc futures

- Factor increased the position to long three units on Monday
- Always diving for foxholes when bombs start to drop, I covered a unit on Friday
- Factor remains long two units at green dots shown
- This trade has massive upside potential – very asymmetric R:r profile
- Hedge funds are the big short, Commercials the are the big long
- Daily chart = 6-month rectangle
- Weekly chart = giant springboard
- The big risk is intervention by the CHF Central Bank, the SNB has ruined many bull runs in the past

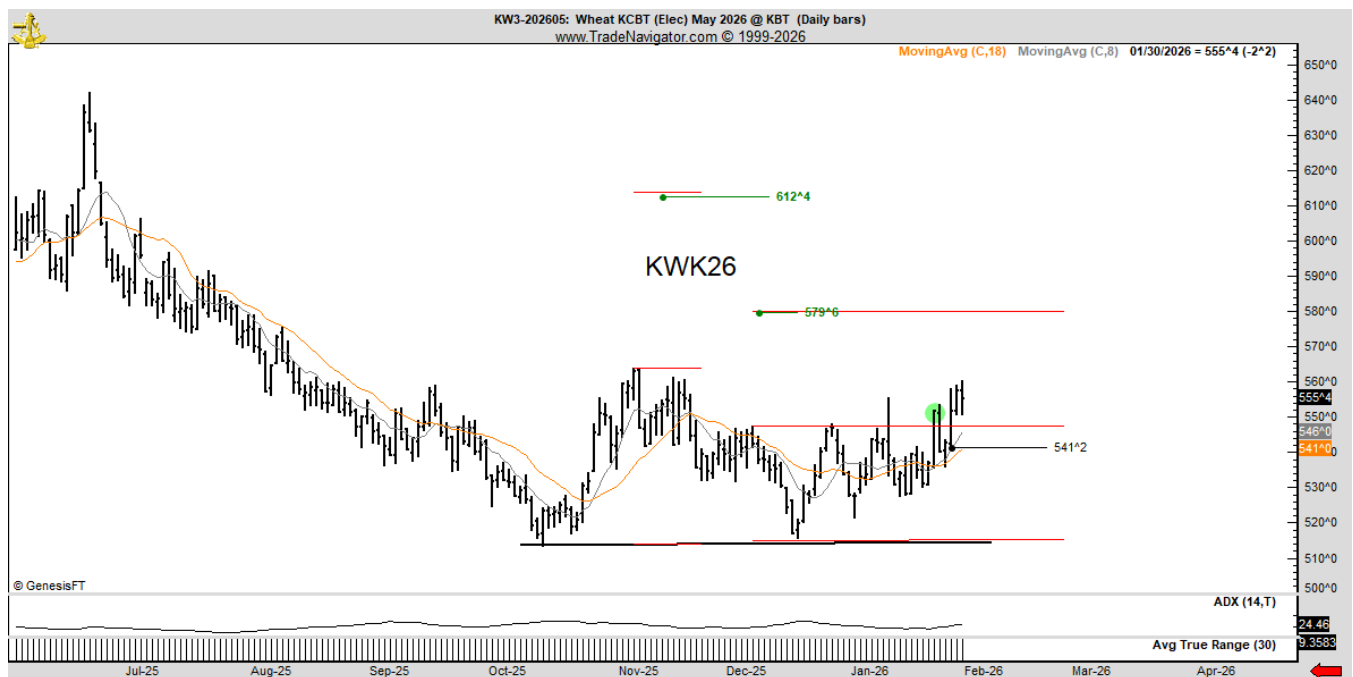
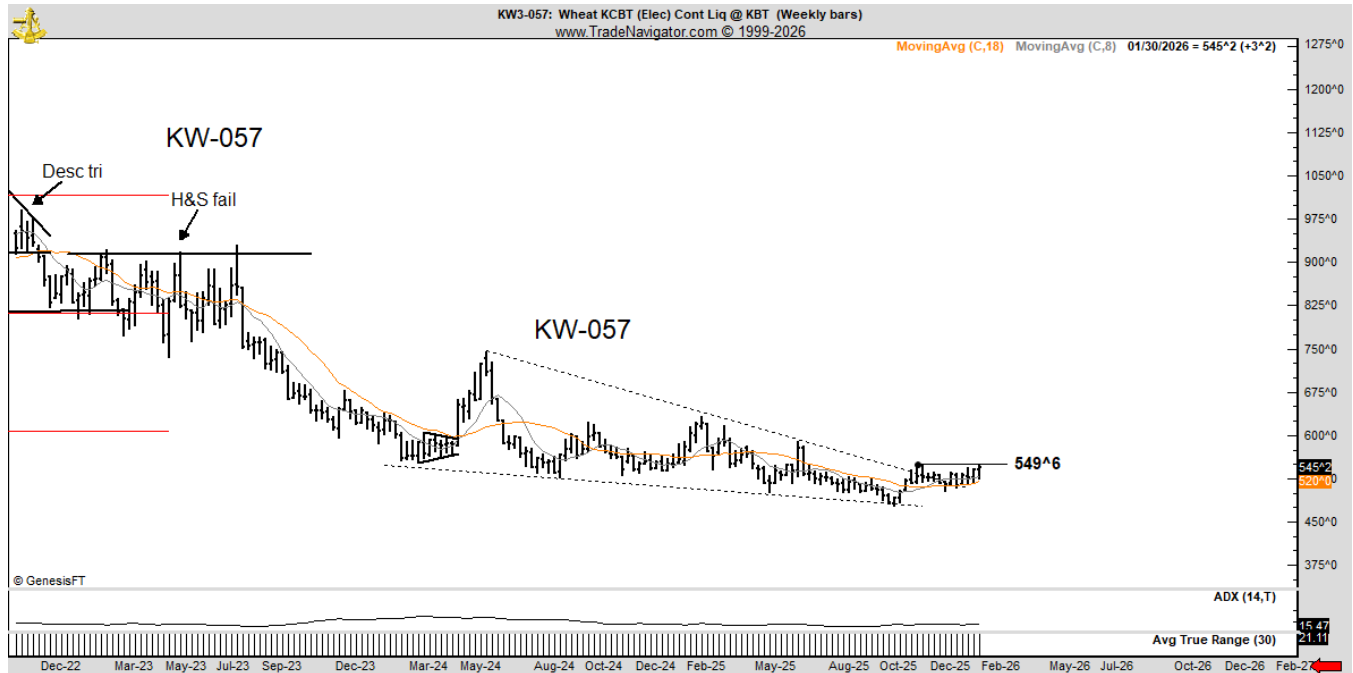


Note: The Excel spreadsheet I use to log my trades and to produce the metrics shown on this table is available at no cost to Factor Members. Contact Jolleen to obtain a fresh file.

Factor LLC Key Performance & Risk Indicators 2026	
What is the cumulative annual ROR?	8.8%
What is the win rate?	0.652
What is the ratio of win-size to loss size?	8.45
Pareto Test: Pareto trades account for at least 80% of net profits?	Fail
What's the Profit Factor?	15.9
What is the worst sequential closed trade drawdown?	-30.92 bps
What is the Expected Value of all trades?	38 bps
As of January 30	Preliminary

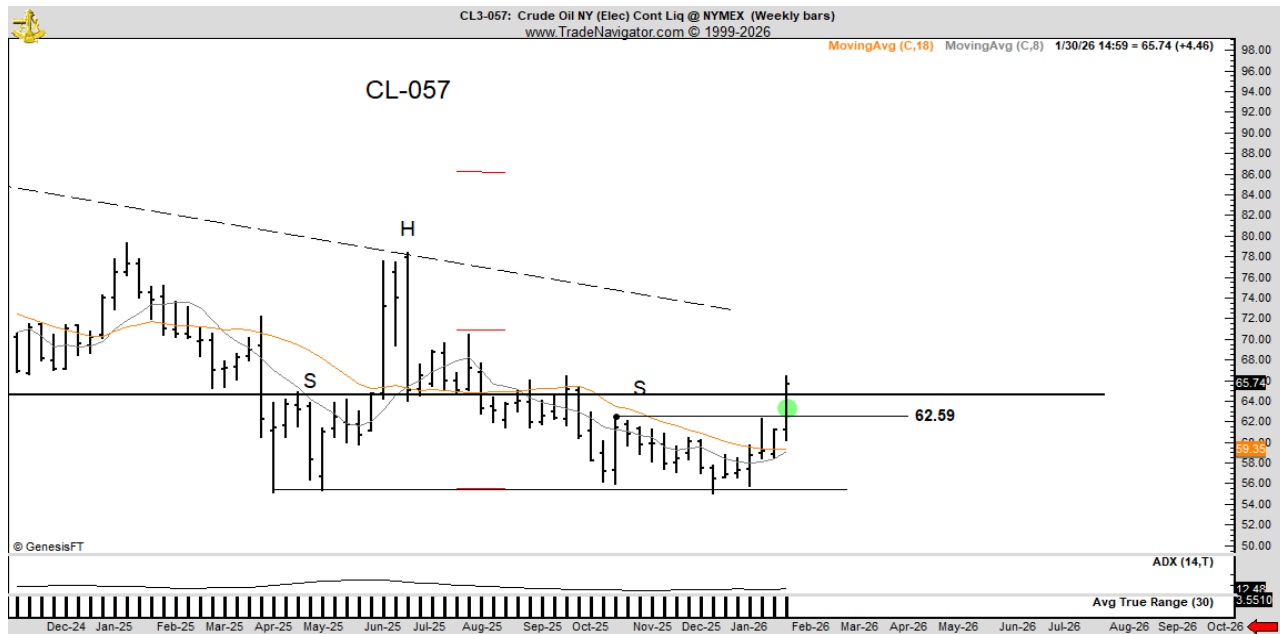
Kansas City Wheat futures

- This is the variety of Wheat used in breads
- Weekly continuation chart displays a massive falling wedge
- Daily chart has completed a Chair with Ottoman pattern
- Factor is long a unit
- \$5.50 is a key level on the 057 chart
- Will this trade work? Not a clue. I enter trades because of set-ups, not because of hope



Crude Oil

- An 11-month H&S failure or Compound Fulcrum bottom was completed this past week
- Factor is long a two-unit position
- A video about this trade was posted on Thursday at <https://www.loom.com/share/f116896b6d724d558d906d12897b71d7>
- There are couple of effs I really like (charts shown)



Other notes from a crazy week

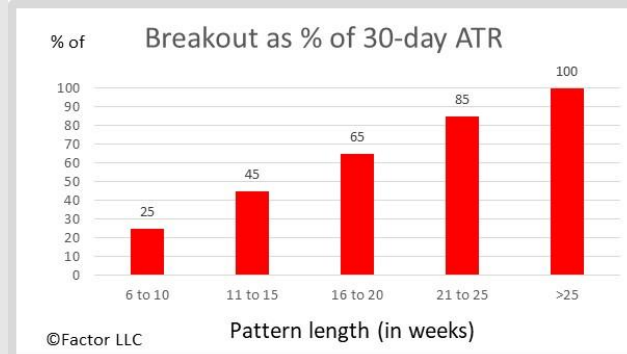
- I covered a short T-Note position on Friday because the trade has not been able to pull away from the entry level
- I covered a short USDX position (established Monday) as part of my dive into a fox hole
- The upside breakout on Wednesday in NQ was quickly squashed

For the video version of this Factor Update Video click here: None yet recorded

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-**day** ATR of the latest day within the pattern
4. Multiply the 30-**day** ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-**week** H&S bottom would be 45% of the 30-**day** ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-**day** ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

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